

Thus, they often factor in a buffer to their principal bid premium to account for not knowing the exact names or position sizes.

THE TRADING FLOOR

The equity trading operation at a broker dealer is primarily broken into three trading desks: cash, program, and electronic. Investors utilize these desks in different manners and for many different reasons. An overview of the primary functions is provided below.

Cash Trading: The cash trading desk, also known as the single stock or block desk, is utilized by investors who have orders subject to potential adverse price momentum, or when they have a strong alpha conviction or directional view of the stock. Traditionally, the block trading desk was used to transact large block orders and for capital commitment in favorable and adverse market conditions. Nowadays, investors additionally use block desks to transact single stock and multi-stock orders, large and small order sizes, in times of potential price movement. In these cases, investors rely on the expertise of block traders and their understanding of the stock, sector, and market, to determine the appropriate implementation strategy and timing of order placement. The cash desk has also historically been the desk where investors would route orders to pay for research and to accumulate credits for future investment banking allocations from IPOs and secondary offerings. Fundamental portfolio managers (e.g., stock pickers) who transact single stock positions are primary clients of the cash desk. We can summarize their trading goal as to minimize the combination of market impact cost and adverse price movement.

Program Trading: The program trading desk, also known as the portfolio trading desk, is used by investors to trade baskets of stocks. These baskets are also known as lists, programs, or portfolios. Investors will utilize a program trading desk primarily for risk management and cash balancing. In these cases, the portfolio manager does not typically have a strong short-term view of a stock and is concerned with the overall performance of the basket. They seek the expertise of program traders to determine the best way to manage the overall risk of the basket so that they can trade in a more passive manner and minimize market impact cost. In times of a two sided basket consisting of buys and sells, the program trader will trade into a hedged position to protect the investor from market movement. In times of a one-sided basket, the program trader will seek to offset orders and partial orders with the highest marginal contribution to risk. Very often these are the names with high idiosyncratic or company specific risk, pending news, or otherwise deemed as toxic due to liquidity or unstable trading